

XIAMEN AIRLINES: PAY FOR PERFORMANCE (CASE ANALYSIS)

BACKGROUND

- Xiamen Airlines has traditionally focussed on fixed pay structure for their employees. They struggled to retain the employees due to increasing shortage of pilots in domestic and global markets.
- Due to uneven pay between foreign & domestic pilots, they faced backlash from domestic pilots.
- Xiamen Airlines implemented pay-for-performance structure in order to motivate employees, while preserving airlines safety and fairness. They also invested in other benefits and career development opportunities for better retention.

EVALUATION OF IMPLEMENTED SOLUTIONS

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SITUATION ANALYSIS

External Environment

1. Rapid growth of Chinese aviation market
2. Pilot shortage. Faced competition from their private counterparts
3. Increasing labour mobility due to national pilot licenses and ample demand

Internal Environments

Existing compensation system no longer aligned with strategy

The previous compensation system:

- a. ~50% fixed pay based on seniority and qualifications
- b. Limited differentiation between high and low performers
- c. Weak incentives for additional flying hours

Consequences:

- a. Senior pilots avoided coaching junior pilots.
- b. Pilots preferred minimum flying hours (~700/year), requiring more pilots
- c. Rising labour costs and slower pilot development

Effect on Stakeholders

1. *Pilots* - Major benefits through compensation incentives, non-work related benefits and career advancement evaluation. Concerns: high work pressure.
2. *Shareholders* - Higher cost initially due to the new initiatives, but eventually it improved the profitability of the company benefitting the shareholders
3. *Passengers* - Experienced better safety and operations
4. *Top Management* - Reform supported long-term growth while reducing labour cost per aircraft. Strong sponsorship from the General Manager ensured successful implementation.

EVALUATION OF OTHER WORK BENEFITS

Changes Implemented

1. Pilots enjoyed variety of work benefits including:
 - a. life & health insurances, unemployment insurance
 - b. paid vacation, sponsored family trips, discount for family member on ticket prices
 - c. housing at a discount of at least 40 percent
2. Comfortable stay, good quality food & gym facility

Impact

1. Pilots were assured about their family members as company was taking care of their needs
2. General perception of the company was projected as “a firm which takes care of their pilots” as top management used to have casual dinners and interactions with them

Concerns

1. Pilots were staying more than half of the month outside town, away from family, which may cause family issues for them in future
2. Lot of cost is being incurred in order to provide these benefits because of which the profits may take a hit, which is visible in Exhibit 8 (profits) after year 2011

ANALYSIS OF CHANGE IN COMPENSATION STRUCTURE

Changes in Compensation Structure

1. Majority of the payment in new structure, “80-90% were variable pay based on flight hours, safety operations, and responsibilities during the flight”. Initially majority of the pay used to be based on experience and qualification.
2. From ranking and qualifications, the hourly pay was changed to “pilot’s in-flight responsibilities”. The hourly pay rates calculation was also designed to increase as the total hours increased
3. Flight operational details were also taken into consideration while evaluating pilots performance, for e.g. like short flights (frequent take-offs and landings), delays due to uncontrollable factors.

Impact

1. Pilots average salary increased to about 3 times in 2013 compared to 2008, leading to better retention among pilots.
2. “Motivation to work harder and practice at higher safety standard” also increased leading to better performance and profits for Xiamen Airlines compared to their private counterparts per employee.

Concerns about the new structure

1. Many employees reported the new performance-linked pay to be much more overwhelming, leading to hectic work hours.
2. This may come at an expense of being focussed away from teamwork & collaboration

PILOT’S CAREER ADVANCEMENT EVALUATION

Change Implemented

1. Additional career titles like “Honoured Flight Captain” to recognize pilot’s extraordinary contributions.
2. People were offered opportunity to take managerial positions after graduation

Impact

1. This added “significant dollar values to pilots in labour market” and offered “lifelong journey to challenge and advance their careers.
2. Provided flexibility for those who were interested in opportunities outside of core pilot job